Cambridge Assessment International Education

Cambridge O Level

CANDIDATE NAME									
CENTRE NUMBER						CANDIDATE NUMBER				

9380964301

BUSINESS STUDIES **7115/21**

Paper 2 Case Study **May/June 2023**

1 hour 30 minutes

You must answer on the question paper.

You will need: Insert (enclosed)

INSTRUCTIONS

- Answer **all** questions.
- Use a black or dark blue pen. You may use an HB pencil for any diagrams or graphs.
- Write your name, centre number and candidate number in the boxes at the top of the page.
- Write your answer to each question in the space provided.
- Do **not** use an erasable pen or correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 80.
- The number of marks for each question or part question is shown in brackets [ ].
- The insert contains the case study.

This document has **12** pages. Any blank pages are indicated.

© UCLES 2023

[Turn over

1 **(a)** Explain **four** barriers to communication for a business.

Barrier 1: .....

.....

.....

.....

Barrier 2: .....

.....

.....

.....

Barrier 3: .....

.....

.....

.....

Barrier 4: .....

.....

.....

..... [8]

© UCLES 2023

(b) Consider the following **two** ways VP can purchase its inventory. Which way should it use? Justify your answer.

- Head Office purchases the inventory for all the restaurants.
- Restaurant Managers purchase their own inventory from local suppliers.

Head Office purchases the inventory for all the restaurants: .....

.....

.....

.....

.....

.....

.....

.....

Restaurant Managers purchase their own inventory from local suppliers: .....

.....

.....

.....

.....

.....

.....

.....

Recommendation: .....

.....

.....

.....

.....

.....

.....

..... [12]

2 **(a)** Explain **two** advantages and **two** disadvantages of VP's Restaurant Managers delegating tasks to their Assistant Managers.

Advantage 1: .....

.....

.....

.....

Advantage 2: .....

.....

.....

.....

Disadvantage 1: .....

.....

.....

.....

Disadvantage 2: .....

.....

.....

..... [8]

© UCLES 2023

(b) Using Appendix 2 and other information, consider the **two** countries VP could choose to locate its new restaurants. Which country should VP choose? Justify your answer.

Country A: .....

.....

.....

.....

.....

.....

.....

.....

Country B: .....

.....

.....

.....

.....

.....

.....

.....

Recommendation: .....

.....

.....

.....

.....

.....

.....

..... [12]

3 **(a)** Explain **two** possible reasons why VP wants to expand.

Reason 1: .....

.....

Explanation: .....

.....

.....

.....

.....

.....

Reason 2: .....

.....

Explanation: .....

.....

.....

.....

.....

..... [8]

© UCLES 2023

(b) Consider the benefits and limitations of the following **two** ways VP can enter a new market in another country. Which way should VP choose? Justify your answer.

- Joint venture
- Franchising

Joint venture: .....

.....

.....

.....

.....

.....

.....

.....

Franchising: .....

.....

.....

.....

.....

.....

.....

.....

Recommendation: .....

.....

.....

.....

.....

.....

.....

..... [12]

4 **(a)** Explain, using an example, **one** reason why VP might need:

- short-term finance
- long-term finance.

Short-term finance: .....

.....

.....

.....

.....

.....

.....

.....

Long-term finance: .....

.....

.....

.....

.....

.....

.....

..... [8]

(b) Using Appendix 3 and other information, consider how the following **three** changes in country Z may affect VP. Which change is likely to have the greatest effect on VP's profits? Justify your answer.

- Increase in interest rates.
- Depreciation of country Z's exchange rate.
- New legal controls which require all restaurants to list the ingredients in their meals.

Increase in interest rates: .....

.....

.....

.....

.....

.....

Depreciation of country Z's exchange rate: .....

.....

.....

.....

.....

.....

New legal controls which require all restaurants to list the ingredients in their meals: .....

.....

.....

.....

.....

.....

Conclusion: .....

.....

.....

.....

.....

..... [12]

BLANK PAGE

© UCLES 2023

BLANK PAGE

© UCLES 2023

BLANK PAGE

Permission to reproduce items where third-party owned material protected by copyright is included has been sought and cleared where possible. Every reasonable effort has been made by the publisher (UCLES) to trace copyright holders, but if any items requiring clearance have unwittingly been included, the publisher will be pleased to make amends at the earliest possible opportunity.

To avoid the issue of disclosure of answer-related information to candidates, all copyright acknowledgements are reproduced online in the Cambridge Assessment International Education Copyright Acknowledgements Booklet. This is produced for each series of examinations and is freely available to download at www.cambridgeinternational.org after the live examination series.

Cambridge Assessment International Education is part of Cambridge Assessment. Cambridge Assessment is the brand name of the University of Cambridge Local Examinations Syndicate (UCLES), which is a department of the University of Cambridge.

© UCLES 2023